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In The
Supreme Court of the United States
October Term, 1994

NATIONAL PRIVATE TRUCK COUNCIL, INC.,
WESTINGHOUSE ELECTRIC CORPORATION,
and ROY E. GRIFFIS,

Petitioners,

v.

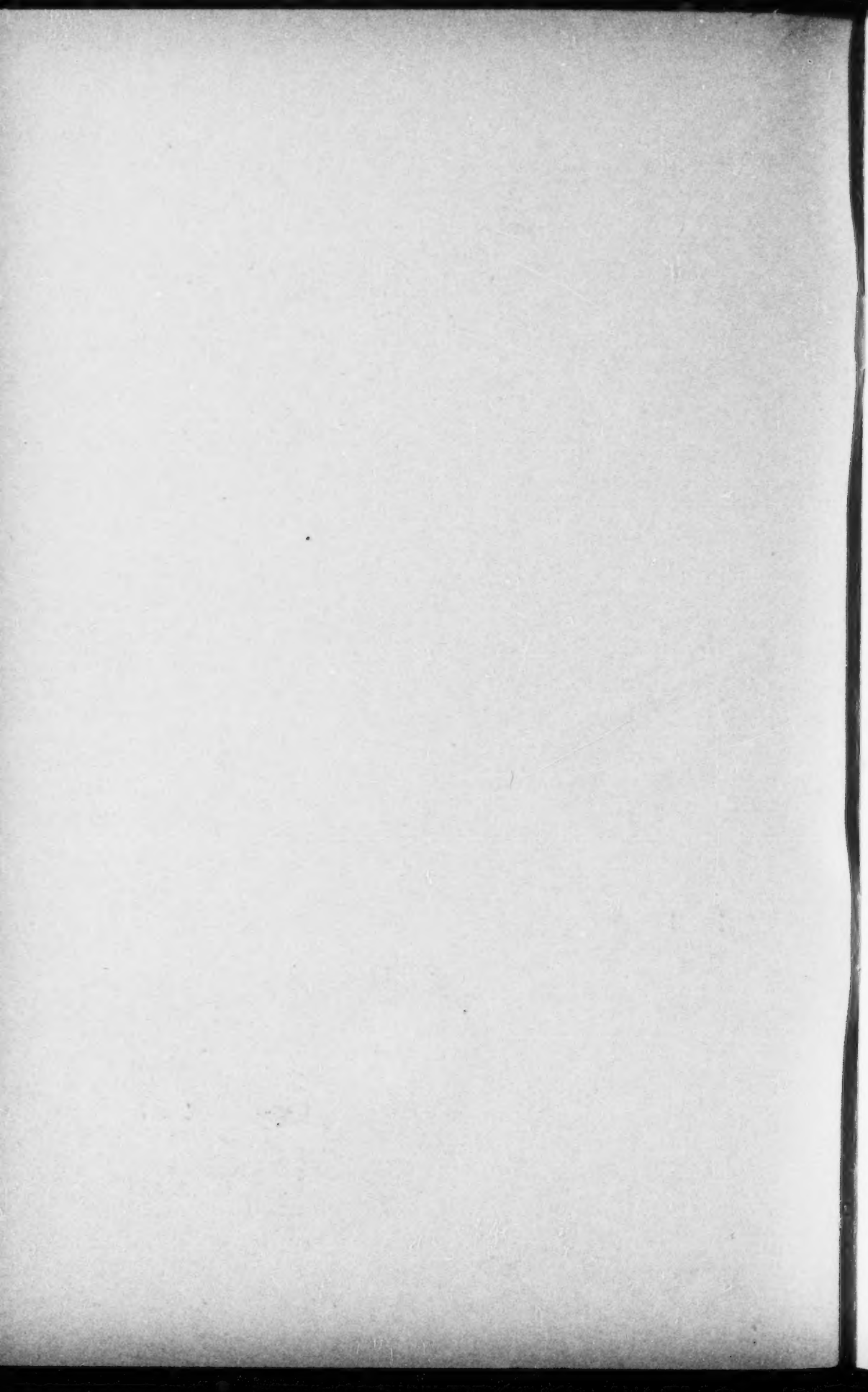
OKLAHOMA TAX COMMISSION, *et al.*,

Respondents.

On Writ Of Certiorari To The
Supreme Court Of Oklahoma

BRIEF OF PETITIONERS

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QUESTION PRESENTED

Whether state courts may refuse to grant federal remedies under 42 U.S.C. §§ 1983 and 1988 to persons who have successfully challenged state taxes as violating their rights under the Commerce Clause of the United States Constitution.

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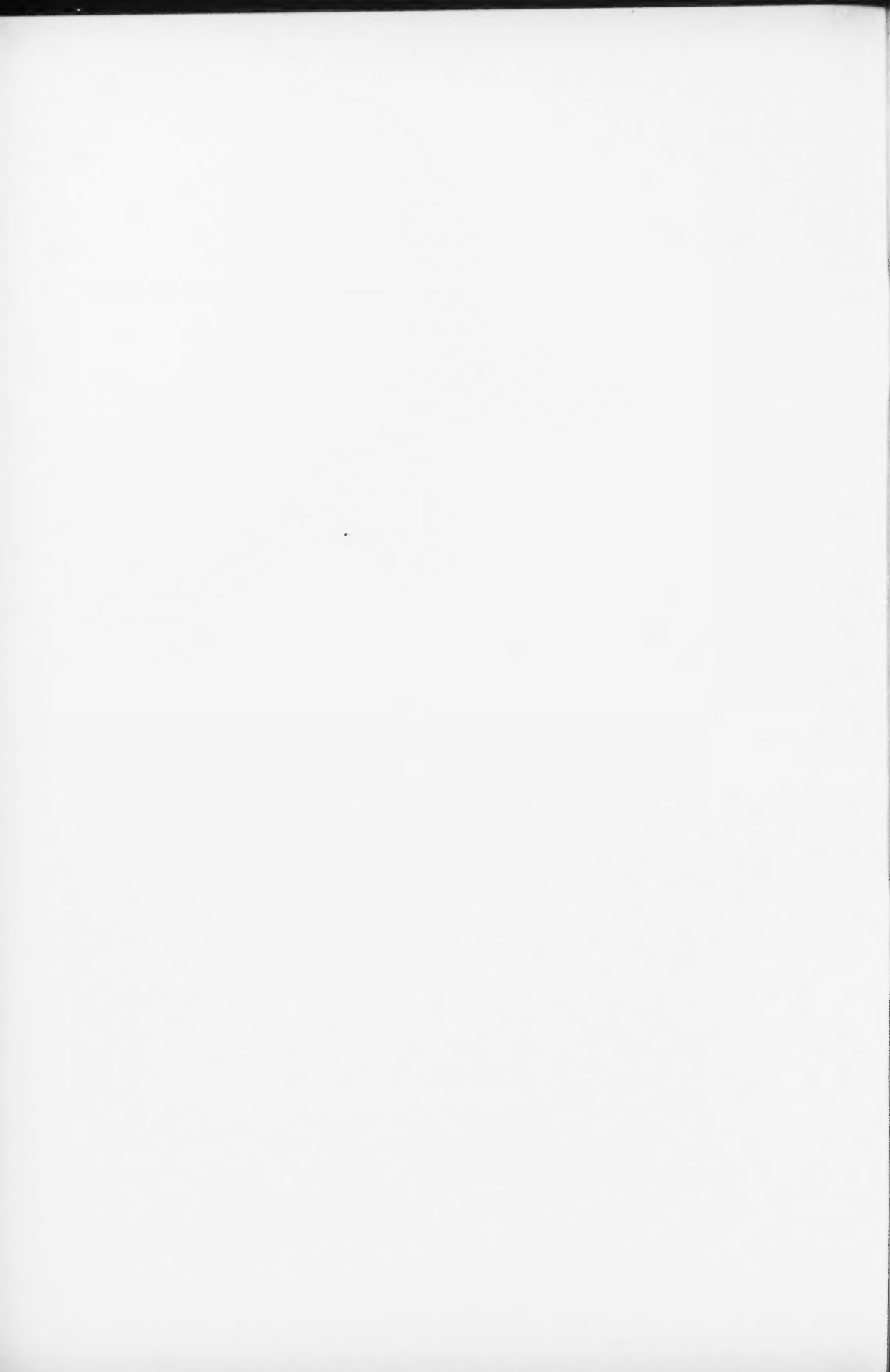
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v.

OKLAHOMA TAX COMMISSION, *et al.*,

*Respondents.*²

On Writ Of Certiorari To The
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BRIEF OF PETITIONERS

¹ National Private Truck Council, Inc. is a trade association and has no subsidiaries. It is the successor to the Private Truck Council of America, Inc., one of the original plaintiffs in this action. The non-wholly owned subsidiaries of Westinghouse Electric Corporation are listed at Pet. App. 62a.

² Respondents are the Oklahoma Tax Commission and the following members of the Commission: Robert E. Anderson, Chairman; Robert V. Cullison, Vice Chairman; and Don Kilpatrick, Secretary-Member. The individual respondents are successors in office to other officials whom petitioners had sued in their official capacities for declaratory and injunctive relief.

OPINIONS BELOW

The opinion of the Oklahoma Supreme Court (Pet. App. 1a-23a) is reported in *Private Truck Council of America, Inc. v. Oklahoma Tax Comm'n.*, 879 P.2d 137 (Okla. 1994).

An earlier opinion of the Oklahoma Supreme Court (Pet. App. 24a-27a), which was vacated and remanded by this Court "for further consideration in light of *Dennis v. Higgins*, 498 U.S. 439 (1991)," is reported at 806 P.2d 598 (Okla. 1991).

The opinion of the district court of Oklahoma County (Pet. App. 48a-53a) is not reported. The decision of the district court of Oklahoma County denying petitioners' motion for a preliminary injunction or escrow is set forth at Pet. App. 54a-58a.

JURISDICTION

This case is before the Court on writ of certiorari to review a decision of the Oklahoma Supreme Court entered on July 19, 1994. This Court has jurisdiction under 28 U.S.C. § 1257(a).

CONSTITUTIONAL AND STATUTORY PROVISIONS INVOLVED

The Commerce Clause of the United States Constitution, Article I, Section 8, provides:

The Congress shall have Power . . .

To regulate Commerce with foreign Nations,
and among the several States, and with the
Indian Tribes;

42 U.S.C. § 1983 (1994) provides, in pertinent part:

Every person who, under color of any statute, ordinance, regulation, custom, or usage, of any State or Territory or the District of Columbia, subjects, or causes to be subjected, any citizen of the United States or other person within the jurisdiction thereof to the deprivation of any rights, privileges, or immunities secured by the Constitution and laws, shall be liable to the party injured in an action at law, suit in equity, or other proper proceeding for redress.

42 U.S.C. § 1988 (1994) provides in pertinent part:

In any action or proceeding to enforce a provision of section[] . . . 1983 . . . of this title . . . , the court, in its discretion, may allow the prevailing party, other than the United States, a reasonable attorney's fee as part of the cost.

28 U.S.C. § 1341 (1993) provides:

The district courts shall not enjoin, suspend or restrain the assessment, levy or collection of any tax under State law where a plain, speedy and efficient remedy may be had in the courts of such State.

Pertinent provisions of Oklahoma's retaliatory tax statute, Okla. Stat. tit. 47, § 1120(K) (1986) and tit. 68, § 607.1 (1982 Supp.), are set forth at Pet. App. 59a.

STATEMENT OF THE CASE

Petitioners successfully challenged a state truck tax as violating their rights under the Commerce Clause of the United States Constitution. In the decision under review, the Supreme Court of Oklahoma has, for the second time, held that these petitioners are not entitled to federal remedies under 42 U.S.C. §§ 1983 and 1988 notwithstanding this Court's action in vacating and remanding the first decision denying such relief "for further consideration in light of *Dennis v. Higgins*, 498 U.S. 439 (1991)." *National Private Truck Council, Inc. v. Oklahoma Tax Commission*, 501 U.S. 1247 (1991).

A. Proceedings Prior to this Court's Remand

This case has a long and tortuous history. Over ten years ago, on December 17, 1984 petitioners filed a class action suit in Oklahoma state court challenging the constitutionality of certain "retaliatory taxes" that the State of Oklahoma imposed on motor carriers who operated in Oklahoma trucks that were registered in certain other states. J.A. 17. Petitioners filed the case in Oklahoma state court because they assumed that the state courts would provide them with a "plain, speedy and efficient remedy" and because access to federal court for injunctive and declaratory relief was barred by the Tax Injunction Act, 28 U.S.C. § 1341, and for monetary remedies by the Eleventh Amendment. More than ten years later, that expectation has fallen somewhat short of fulfillment.

The challenged taxes were not imposed on trucks registered in Oklahoma. Pet. App. 27a-28a, 59a. The

purpose of these taxes was to retaliate against states imposing so-called "third structure taxes,"³ which certain states have imposed on all motor carriers operating in those states, including Oklahoma-registered carriers, and to which the Oklahoma legislature objected. These statutes carried out this purpose by authorizing respondents to impose taxes on carriers whose vehicles are operated in Oklahoma but are registered in states that impose third structure taxes. These retaliatory taxes are equal in amount to the third structure tax imposed by the carriers' state of registration. By thus penalizing carriers from third-structure tax states, Oklahoma's legislature hoped to pressure the legislatures of those states to repeal their third-structure taxes or to exempt Oklahoma-based carriers from them.

³ A "third structure tax" is one that is imposed on motor carriers in addition to the more traditional charges states have levied on such carriers, which are registration fees and fuel taxes (so-called "first structure" and "second structure" taxes). Examples of third structure taxes include ton-mile taxes, which are based on the weight of trucks and the mileage operated in the taxing state, and axle taxes, which impose a flat charge based on the number of axles on each vehicle. In *American Trucking Ass'ns v. Scheiner*, 483 U.S. 266 (1987), this Court invalidated one such third structure tax, Pennsylvania's axle tax. The Court noted that flat taxes like Pennsylvania's had prompted Oklahoma and six other states to enact retaliatory taxes, and it stated: "Such taxes can obviously divide and disrupt the market for interstate transportation services." *Id.* at 285 (footnotes omitted).

Respondents implemented these statutes in 1983 by imposing retaliatory taxes on carriers with trucks operating in Oklahoma that were registered in 25 states.⁴

Petitioners are the National Private Truck Council, Inc. ("NPTC"), Westinghouse Electric Corporation, and Roy Griffis. NPTC is the national trade association of "private carriers" – companies that own and operate their own truck fleets primarily in furtherance of their non-transportation businesses. NPTC is the successor to the Private Truck Council of America, Inc., which was the original lead plaintiff in this suit and in six other suits which successfully challenged retaliatory taxes imposed by other states.⁵ Westinghouse Electric Corporation is the successor to the rights of its former subsidiary Circle W Transportation, which operated 15 Pennsylvania-registered trucks in Oklahoma and therefore paid \$1,080 in retaliatory taxes to Oklahoma in 1984. Roy Griffis is an

⁴ These are Alabama, Arizona, Arkansas, Connecticut, Delaware, Florida, Georgia, Idaho, Kentucky, Louisiana, Maine, Maryland, Massachusetts, Mississippi, New Hampshire, New Jersey, New Mexico, New York, North Carolina, Nevada, Ohio, Oregon, Pennsylvania, Vermont, and West Virginia.

⁵ *Private Truck Council v. Secretary of State*, 503 A.2d 214 (Me.), cert. denied, 476 U.S. 1129 (1986); *Private Truck Council v. State*, 128 N.H. 466, 517 A.2d 1150 (1986); *Private Truck Council v. State*, 221 N.J. Super. 89, 534 A.2d 13 (1987) *aff'd en banc*, 111 N.J. 214, 544 A.2d 33 (1988); *State v. Private Truck Council*, 258 Ga. 531, 371 S.E.2d 378 (1988); *State Dep't of Revenue v. Private Truck Council*, 531 So. 2d 367 (Fla. Dist. Ct. App. 1988); *Dennis v. State*, 234 Neb. 427, 451 N.W.2d 676 (1990), *rev'd on other grounds sub nom. Dennis v. Higgins*, 498 U.S. 439 (1991). All of these retaliatory tax cases, including the case before the Court, were brought by NPTC and its members on a contingent fee basis with counsel.

unincorporated "owner operator" residing in Bearden, Arkansas. Griffis paid \$185 in retaliatory taxes to Oklahoma in 1984. Pet. App. 25a.

Petitioners' complaint alleged that Oklahoma's retaliatory tax statutes discriminated on their face against interstate commerce and out-of-state residents in violation of the Commerce Clause and the Privileges and Immunities Clause of Article IV, Section 2 of the United States Constitution. It also alleged that the respondents were therefore liable to petitioner under 42 U.S.C. § 1983. The complaint sought declaratory and injunctive relief, refunds of taxes paid and attorneys fees under state law and 42 U.S.C. § 1988. Upon filing the complaint, petitioners moved for a preliminary injunction or, alternatively, for an order requiring the tax collections to be held in escrow pending the outcome of the suit.

Although the trial court acknowledged that the taxes were probably unconstitutional, it denied petitioners' motion for a preliminary injunction against their collection, or alternatively, for an order requiring them to be held in escrow because it felt that the merits of the action could be promptly decided. Pet. App. 54a-55a, 58a.⁶ Petitioners then promptly filed a motion for summary judgment. Two years later, another judge of the same court

⁶ Judge Myers of the District Court of Oklahoma County denied the plaintiffs' motion for preliminary injunction or escrow because he thought the merits would be decided within "thirty to sixty days, considering the speed with which such matters are decided." Pet. App. at 58a. Ten years later, that prediction has proved to be unduly optimistic.

finally ruled on that motion, denying it and upholding the constitutionality of the taxes. Pet. App. 48a-53a.

Petitioners appealed to the Oklahoma Supreme Court. More than three years later, on June 28, 1990, that court issued a decision reversing the trial court's decision upholding the taxes. Pet. App. 24a-47a. The court held, "The questioned statutes are plainly discriminatory" and thus violate the Commerce Clause under the test set forth in *Complete Auto Transit, Inc. v. Brady*, 430 U.S. 274, 279 (1977). *Id.* at 34a-35a. The court stated: "Obviously . . . Oklahoma's retaliatory taxes do not pass the third and fourth prongs [of the *Complete Auto* test]." *Id.* at 35a.

With respect to a remedy, the court held that petitioners and the class they represent are entitled under the pertinent Oklahoma tax refund statute to recover refunds of unconstitutional taxes on a class-wide basis. Pet. App. 47a. However, the court ruled that its holding would operate "quasi-prospectively from the date of the [*American Trucking Ass'ns v. Scheiner* decision," — i.e., from June 23, 1987.⁷ As corrected by two subsequent orders, the court's final opinion remanded with directions to respondents to refund taxes paid with respect to tax periods occurring after June 23, 1987.

The Oklahoma Supreme Court also briefly addressed and rejected petitioners' claim under 42 U.S.C. § 1983 and

⁷ *Id.* at 42a, 46a. The court noted: "Nearly \$12,000,000 was collected under the statutes from April, 1983 [when they were first implemented] through October, 1987." Pet. App. 39a. Presumably somewhat less was collected with respect to the tax period prior to June 23, 1987.

their associated claim for attorney's fees under 42 U.S.C. § 1988. It did so on the basis of *Consolidated Freightways Corp. v. Kassel*, 730 F.2d 1139 (8th Cir.), *cert. denied*, 469 U.S. 834 (1984) and other decisions (App. 46a), all of which this Court overruled in *Dennis v. Higgins*.⁸

B. This Court's Remand

Petitioners filed a petition for a writ of certiorari to review two aspects of the Oklahoma Supreme Court's decision: its denial of refunds of taxes paid with respect to the period before the *Scheiner* decision and its denial of petitioners' claims under 42 U.S.C. §§ 1983 and 1988. Petitioners pointed out that the denial of their claims under §§ 1983 and 1988 conflicted directly with this Court's decision in *Dennis v. Higgins*. In *Dennis*, which involved the challenge by NPTC and others to Nebraska's retaliatory truck tax on the same Commerce Clause ground asserted in this case, the Court held that the taxpayer's Commerce Clause claims were cognizable under § 1983. The Court stated that § 1983 "provides a remedy, to be broadly construed, against all forms of

⁸ Petitioners had also argued to the trial court and the Oklahoma Supreme Court that they were entitled to an award of attorneys fees from the fund of refunds recovered for the class under the common fund doctrine which was well established under Oklahoma law, as it is in other states and in federal law. *State ex rel. Burk v. Oklahoma City*, 522 P.2d 612 (Okla. 1973). The Oklahoma Supreme Court in its decision did not address petitioners' claim for common fund fees, but instead stated that petitioners were not entitled to fees under a repealed state fee shifting statute, Okla. Stat. tit. 12, § 18(c) (1981) – a contention that petitioners had never argued. (Pet. App. 46a).

official violation of federally protected rights." 498 U.S. at 445. With respect specifically to the challenge to Nebraska's truck taxes, the Court held: "We conclude that the Supreme Court of Nebraska erred in holding that petitioner's Commerce Clause claim could not be brought under 42 U.S.C. § 1983." *Id.* at 451.

On July 31, 1991 this Court issued an order in which it summarily vacated the judgment of the Oklahoma Supreme Court and remanded the case to that court "for further reconsideration in light of *Dennis v. Higgins*, 498 U.S. 439 (1991)." 501 U.S. 1247.

C. The Decision Below

After several unsuccessful attempts to resolve outstanding issues with respondents, petitioners on July 20, 1992 filed a motion with the Oklahoma Supreme Court to remand the case to permit the trial court to establish a plan of distribution of tax refunds and accrued interest⁹ and to determine petitioners' attorneys fees and litigation expenses. Respondents filed no opposition or other response to that motion.

⁹ While this case is pending on the question of § 1983 relief, the Oklahoma Tax Commission retains over \$5 million in principal and interest that is due for refund to taxpayers pursuant to the Oklahoma Supreme Court's decision of June 28, 1990. The Tax Commission also retains nearly \$12 million in Oklahoma retaliatory taxes that, although "clearly" unconstitutional according to the same decision, are not subject to refund because they were collected for tax periods prior to this Court's decision in *American Trucking Ass'ns v. Scheiner*.

On February 24, 1994 the Oklahoma Supreme Court *sua sponte* issued an order directing the parties to file briefs addressing various issues related to petitioners' entitlement to attorneys' fees. Pet. App. 60a-61a. After receipt of briefs from the parties, the court issued a decision holding that "plaintiffs are not entitled to relief under §§ 1983 and 1988." *Id.* at 6a.

The court below concluded that "principles of comity and federalism" supported its view that petitioners are not "entitled to assert federally created remedies under §§ 1983 and 1988 in this state court action." Pet. App. 6a. The court reasoned that the policies of the Tax Injunction Act, 28 U.S.C. § 1341, which prohibits federal courts from enjoining state taxes where "a plain, speedy and efficient remedy may be had in the courts of such State," authorize state courts to refuse to provide federal remedies established by §§ 1983 and 1988 to litigants challenging state taxes in state courts. *Id.* at 6a-9a. The court also relied on a decision of the North Dakota Supreme Court in *State v. Quill*, 500 N.W.2d 196 (N.D.), *cert. denied*, ___ U.S. ___, 114 S. Ct. 173 (1993) to the same effect.

Although the court acknowledged that the Tax Injunction Act only applies to federal courts, it justified its decision on the basis of "principles of comity." Pet. App. 8a. One of these principles, according to the court, "is that potential differences in remedies available in state court and federal court should be avoided. The existence of such differences encourages forum shopping." *Id.*

The court also asserted that its decision was not contrary to this Court's decision in *Dennis v. Higgins*, because, it said, this Court in *Dennis* had not addressed

the effect of the Tax Injunction Act on the availability of remedies under §§ 1983 and 1988 in state tax cases (although it noted that the dissenting opinions in *Dennis* had cited the Tax Injunction Act). Pet. App. 7a. For similar reasons the court rejected petitioners' reliance on *Howlett v. Rose*, 496 U.S. 356 (1990). *Id.* at 8a.

Accordingly, the court reinstated its earlier judgment without change. Pet. App. 11a.¹⁰

SUMMARY OF ARGUMENT

The holding below that state courts are not required to apply and enforce claims arising under 42 U.S.C. §§ 1983 and 1988 conflicts with the principle, long-established in this Court's decisions, that state courts must entertain causes of action arising under federal law. This Court has consistently held that under the Supremacy Clause state courts have an obligation to apply and enforce federal law as the "Supreme Law of the Land." In doing so, the Court has specifically rejected the argument that a state court may refuse to hear a federal claim because the rights or remedies involved conflict with state policy. Moreover, state courts may not discriminate against rights arising under federal laws.

¹⁰ The court also held that petitioners' claim of entitlement to attorney's fees under the state law common fund doctrine was barred by its earlier opinion and the law of the case doctrine (Pet. App. 10-11a), even though its earlier opinion had never addressed petitioners' entitlement to fees and expenses under the common fund doctrine.

This basic principle that state courts must entertain federal claims also applies to claims under 42 U.S.C. §§ 1983 and 1988. In cases arising under § 1983, this Court has held that a state court may not refuse to entertain a federal claim absent a "valid excuse," and that an excuse that is inconsistent with or violates federal law is not a valid excuse. States may apply their own neutral procedural rules to federal claims, unless those rules are preempted by federal law.

The principle of federal court noninterference in state tax matters underlying the Tax Injunction Act does not constitute a valid excuse for a state court to refuse to hear a federal claim involving state taxes. The Tax Injunction Act limits the jurisdiction of federal courts, not state courts. Furthermore, allowing state courts to hear § 1983 claims challenging state taxes implements the policies of both § 1983 and the Tax Injunction Act. Under the Tax Injunction Act, federal courts are precluded from hearing state tax claims *because* those claims may be heard in state court.

Additionally, the comity consideration arising from the Tax Injunction Act is not a neutral rule of state court procedure. Nor is the desire of the court below for exact uniformity in federal and state court jurisdiction. There are many instances where federal courts cannot hear claims cognizable in state courts because federal courts are courts of limited jurisdiction and state courts are normally courts of general jurisdiction.

Finally, the reasons of the court below are not a valid excuse to refuse to hear federal claims because those reasons are inconsistent with the principles of the Civil

Rights Attorney's Fees Act, which provides for attorney's fees to successful plaintiffs in *all* actions enforcing rights under § 1983. There is nothing in the language or legislative history of the Act to suggest that a state may refuse to follow its provisions in state tax cases. This Court has determined that attorney's fees under § 1988 are an integral part of the remedies necessary to obtain compliance with § 1983, and are available whether such an action is brought in federal or state court. The refusal of the court below to hear petitioners' claims under §§ 1983 and 1988 denies them a remedy granted by Congress.

ARGUMENT

I. STATE COURTS ARE REQUIRED TO ENTERTAIN CLAIMS UNDER 42 U.S.C. §§ 1983 AND 1988 IN THE ABSENCE OF A "VALID EXCUSE" BASED ON NEUTRAL RULES OF COURT ADMINISTRATION.

The Supreme Court of Oklahoma held that state courts are not required to apply and enforce federal law, namely 42 U.S.C. §§ 1983 and 1988, in cases where federal courts are precluded by jurisdictional statutes from applying and enforcing that law. That novel proposition finds no support in any federal statute, and it conflicts with fundamental principles of federalism well-established by this Court's opinions.

This Court has long made clear that, in our constitutional system, state courts have an obligation under the Supremacy Clause, Article IV, § 2, to apply and enforce federal law as the "Supreme Law of the Land." This obligation is concurrent with and independent of the

obligation of federal courts to enforce federal law. State courts would have that obligation even if there were no lower federal courts at all. Indeed, before 1875, federal courts had no general federal-question jurisdiction and very limited original jurisdiction of any kind. As the Court observed in *Palmore v. United States*, 411 U.S. 389, 401 (1973): "Until that time, the state courts provided the only forum for vindicating many important federal claims."

Even before the Constitution was ratified, Alexander Hamilton, in urging its adoption, stated that it would impose on state courts a concurrent and independent obligation to apply and enforce federal law. In *The Federalist* No. 82 (E. Bourne ed. 1947), at 132, he wrote: "[T]he inference seems to be conclusive, that the State courts would have a concurrent jurisdiction in all cases arising under the laws of the Union, where it was not expressly prohibited."

Although before the Civil War the scope of the obligation of state courts to apply federal law was sometimes questioned (see *Testa v. Katt*, 330 U.S. 386, 390 (1947)), the Court took occasion in 1876 to endorse Hamilton's view unequivocally. In *Claflin v. Houseman*, 93 U.S. 130, 136-37 (1876), the Court stated:

The laws of the United States are laws in the several States, and just as much binding on the citizens and courts thereof as the State laws are . . . The two together form one system of jurisprudence, which constitutes the law of the land for the State; and the courts of the two jurisdictions are not foreign to each other, nor to be treated by each other as such, but as courts of

the same country, having jurisdiction partly different and partly concurrent.

The Court went on to state that if Congress provides a cause of action to a party, "there is no reason why it should not be enforced, if not provided otherwise by some act of Congress, by a proper action in a state court." *Id.* at 137.

The Court has reaffirmed this basic principle many times in the intervening 120 years. For example, in *Mondou v. New York, N.H. & H. R. Co.*, 223 U.S. 1 (1912), this Court held that when Congress creates a federal cause of action and vests enforcement jurisdiction in federal courts, that fact does not support the inference that Congress intended to make federal court jurisdiction exclusive. Nor does it permit state courts of general jurisdiction to refuse to exercise jurisdiction over federal causes of action. In *Mondou*, the Connecticut courts had refused to enforce a claim under the Federal Employers' Liability Act; it reasoned both that the Congress had impliedly excluded a state court remedy, and that in any event the substantive principles of the FELA were not in accord with state policy. This Court concluded that Congress had not excluded state court jurisdiction, and that state courts had an obligation to enforce the federal right regardless of state policy considerations:

The suggestion that the act of Congress is not in harmony with the policy of the State, and therefore that the courts of the state are free to decline jurisdiction, is quite inadmissible, because it presupposes what does not exist. When Congress, in the exertion of the power confided to it by the Constitution, adopted that

act, it spoke for all the people and all the States, and thereby established a policy for all. That policy is as much the policy of Connecticut as if the act had emanated from its own legislature, and should be respected accordingly in the courts of the State.

223 U.S. at 57. See also *McKnett v. St. Louis & S.F. Ry.*, 292 U.S. 230 (1934), where a state court declined jurisdiction over a FEHA claim because it arose under federal law. In *McKnett*, this Court reversed on the ground that denial of jurisdiction based "solely on the source of the law sought to be enforced" violated the rule that a state court may not "discriminate against rights arising under federal laws." 292 U.S. at 233-34.

In *Testa v. Katt*, the Court again applied this principle to require state courts to enforce federal remedies that were contrary to state policy. In *Testa*, the Rhode Island courts refused to enforce a claim for treble damages for selling an automobile above the ceiling price established under the Emergency Price Control Act. The state court refused to enforce the federal remedy because it was "penal" and "foreign in the international sense" to the state. This Court held that state courts "are not free to refuse enforcement" of a federal right, including the treble damage remedy; the Court stated that "the obligation of states to enforce these federal rights is not lessened by reason of the form in which they are cast or the remedy which they provide." 330 U.S. at 391. More recent cases applying the same principle include *Tafflin v. Levitt*, 493 U.S. 455 (1990) (requiring state enforcement of the civil RICO statute, 18 U.S.C. §§ 1961-1968) and *Yellow Freight*

System, Inc. v. Donnelly, 494 U.S. 820, 823 (1990) (requiring state court enforcement of 42 U.S.C. § 2000e *et seq.*).

This Court has also consistently applied this principle to hold that state courts are required to apply and enforce federal rights and remedies under 42 U.S.C. §§ 1983 and 1988. In *Patsy v. Board of Regents of Florida*, 457 U.S. 496, 506-507 (1982), for example, the Court noted that the framers of the Civil Rights Act of 1871 intended that suits under § 1983 could be brought in either federal or state courts. The Court has also held that state courts may not refuse to enforce federal claims under §§ 1983 and 1988 on the basis of state law policies or procedures that are in conflict with the policies and purposes of the federal statutes. *Felder v. Casey*, 487 U.S. 131 (1988) (rejecting defense based on state notice-of-claim and exhaustion-of-remedies requirements); *Martinez v. California*, 444 U.S. 277 (1980) (rejecting defense based on state official immunity statute).

The Court summarized the governing principles as they apply to § 1983 claims in *Howlett v. Rose*, 496 U.S. 356 (1990). In *Howlett*, the Court held that Florida courts could not reject a plaintiff's § 1983 claim on the basis of a sovereign immunity defense under state law. The Court reaffirmed the fundamental principle that

Federal law is enforceable in state courts not because Congress has determined that federal courts would otherwise be burdened or that state courts might provide a more convenient forum – although both might well be true – but because the Constitution and the laws passed pursuant to it are as much laws in the States as laws passed by the state legislature.

Id. at 367. The Court then set out three corollaries of concurrent jurisdiction arising from the Supremacy Clause principle that federal law is the Supreme Law of the Land.

First, "[a] state court may not deny a federal right when the parties and controversy are properly before it, in the absence of a 'valid excuse.'" 496 U.S. at 369 (quoting from *Douglas v. New York, N.H. & H. R. Co.*, 279 U.S. 377, 387-388 (1929)). Second, "[a]n excuse that is inconsistent with or violates federal law is not a valid excuse." *Howlett*, 496 U.S. at 371.

Third, state courts will normally be permitted to refuse to entertain a federal claim when such refusal is based on "a neutral rule regarding the administration of the courts. . . ." 496 U.S. at 372. Thus, "States may apply their own neutral procedural rules to federal claims, unless those rules are pre-empted by federal law." *Id.* The Court noted that it has found state procedural rules to constitute valid excuses for not entertaining federal claims on only three occasions: when neither party was a resident of the forum state, *Douglas v. New York, N.H. & H. R. Co.*, 279 U.S. 377 (1929); when the cause of action arose outside the state court's territorial jurisdiction, *Herb v. Pitcairn*, 324 U.S. 117 (1945); and when the state court invoked *forum non conveniens* to bar adjudication, *Missouri ex rel. Southern R. Co. v. Mayfield*, 340 U.S. 1 (1950). *Howlett*, 496 U.S. at 374-75. In each of these cases, the rule in question was neutral, applying equally to bar federal and state law causes of action. Furthermore, in each case, the refusal of the state courts to entertain the federal claims did not preclude the claimants from enforcing their federal rights in some court. They were able to bring

those claims either in a federal court or in another more appropriate state court.

The decision below is squarely in conflict with the foregoing decisions. The Oklahoma Supreme Court has refused to apply and enforce federal rights and remedies under §§ 1983 and 1988 without any "valid excuse." As we discuss more fully in the following sections, the Tax Injunction Act and the "principles of comity and federalism" invoked by that court do not provide any valid excuse for the refusal of a state court to enforce federal law. The Tax Injunction Act is simply inapplicable, and the "principles of comity and federalism" as used by that court is not a neutral rule of judicial administration. The rule fashioned by the court below serves only to bar federal claims under §§ 1983 and 1988, and it effectively precludes claimants from enforcing their rights under those statutes in any challenge to a state tax on federal grounds in any court. As such, it is plainly inconsistent with those federal laws.¹¹

¹¹ Neither the court below nor respondents have disputed petitioners' right to seek and obtain relief under §§ 1983 and 1988 on any ground other than the Tax Injunction Act and the principles of comity invoked by the court below. Inasmuch as petitioners' complaint sought injunctive and declaratory relief from respondent commissioners acting in their official capacities, this Court's decisions make clear that the complaint stated claims under §§ 1983 and 1988 on which relief could be granted. See *Will v. Michigan Dep't of State Police*, 491 U.S. 58, 71, n.10 (1989). The fact that injunctive and declaratory relief was granted under state procedures is immaterial to their entitlement to attorney's fees under § 1988. Since petitioners would have been entitled to injunctive and declaratory relief under § 1983, they are entitled to recover their attorney's fees and costs

Contrary to the Supreme Court of Oklahoma, the large preponderance of state courts that have considered this issue have correctly concluded that they are required to apply and enforce claims under §§ 1983 and 1988 in state court actions challenging the validity of state taxes and tax enforcement practices on federal constitutional or statutory grounds.¹²

under § 1988. *Maher v. Gagne*, 448 U.S. 122, 132 n.15 (1980). Furthermore, § 1988 requires an award of attorney's fees and costs unless there are special circumstances that would make such a recovery unjust. *Smith v. Robinson*, 468 U.S. 992, 1006 (1984). Moreover, the obligation of the states or agencies whom the respondent commissioners represent to pay attorney's fees is not subject to defenses of sovereign immunity or good faith execution of the challenged state law or practice. *Hutto v. Finney*, 437 U.S. 678 (1978); *Kentucky v. Graham*, 473 U.S. 159, 164-67 (1985).

¹² See *Murtagh v. County of Berks*, 634 A.2d 179 (Pa. 1993), cert. denied, ___ U.S. ___, 114 S. Ct. 1497 (1994); *Riverton Produce Co. v. State*, 871 P.2d 1213 (Colo. 1994); *American Trucking Ass'n v. Secretary of Admin.*, 415 Mass. 337, 613 N.E.2d 95 (1993); *Bloomington's by Mail v. Huddleston*, 848 S.W.2d 52 (Tenn. 1992); cert. denied ___ U.S. ___, 113 S. Ct. 3002 (1993); *American Trucking Ass'n v. Secretary of State*, 595 A.2d 1014 (Me. 1991); *Burrell v. Mississippi State Tax Comm'n*, 536 So. 2d 848, 863-64 (Miss. 1988); *Marx v. Truck Renting & Leasing Ass'n, Inc.*, 520 So. 2d 1333 (Miss. 1987); *Allison v. Board of County Comm'rs*, 241 Kan. 266, 737 P.2d 6 (1987); *Arkansas Writers' Project, Inc. v. Ragland*, 293 Ark. 395, 738 S.W.2d 402 (1987); *Pechiney Corp. v. Crystal*, 43 Conn. Supp. 91, 643 A.2d 319 (Conn. Super. Ct. 1994); *Rowan Cos., Inc. v. State Tax Comm'n*, 623 So. 2d 159 (La. Ct. App. 1993); *Radio Common Carriers of New York, Inc. v. State*, 601 N.Y.S.2d 513 (Sup. Ct. 1993); *Neiman Marcus Group, Inc. v. Meehan*, 1991 Conn. Super. LEXIS 2135 (1991); and *Bung's Bar and Grille, Inc. v. Township Council of Florence*, 206 N.J. Super. 432, 457-62, 502 A.2d 1198, 1213-16 (1985).

**II. THE FEDERAL TAX INJUNCTION ACT AND
"PRINCIPLES OF COMITY AND FEDERALISM"
PROVIDE NO VALID EXCUSE TO STATE
COURTS TO REFUSE TO ENTERTAIN CLAIMS
AND PROVIDE RELIEF UNDER 42 U.S.C. §§ 1983
AND 1988.**

The Oklahoma Supreme Court explained its denial of petitioners' claims under 42 U.S.C. §§ 1983 and 1988 by reasoning that the claims could not have been brought in federal court under the Tax Injunction Act, 28 U.S.C. § 1341, and therefore principles of "comity and federalism" allow the Oklahoma courts to refuse to hear these claims in state court. Pet. App. 6a. There is no merit to the reliance by the court below on the Tax Injunction Act and principles of comity and federalism. Indeed, such reliance to excuse state courts from entertaining and enforcing federal rights and remedies in state tax cases turns that Act and those principles on their heads.

The sole purpose of the Tax Injunction Act was to prevent the *federal* judiciary from interfering with state tax procedures when state law provides adequate state procedures for addressing the claims. The Act's language says nothing about the jurisdiction of *state* courts, or whether state courts should entertain federal causes of action.

Nor does the legislative history of the Tax Injunction Act contain any indication of the slightest intent by Congress to limit the authority or obligation of state courts to enforce all federal rights in cases challenging state taxes and tax practices. What that history indicates is that the Congress wanted to preserve the ability of states to continue collecting tax revenues during litigation over the

validity of state taxes, and to prevent federal courts from interfering with those collections. The Tax Injunction Act was in response to a perceived practice of out-of-state corporate taxpayers qualifying for diversity jurisdiction in federal court and then obtaining preliminary injunctions of the tax collection while their cases were pending. By enjoining state tax collection, federal courts imposed a financial burden on state and local governments and forced taxing authorities to accept reduced tax payments in lieu of protracted litigation. *See* 2569 CONG. REC. 1415 (1937).

Additionally, the Tax Injunction Act was intended to resolve an anomaly whereby nonresident state taxpayers received more favorable treatment in court than residents. Nonresident taxpayers could qualify for diversity jurisdiction in federal courts to challenge state taxes while resident taxpayers were required to resort to state courts. *Id.* at 1416-1417. Under the laws of most states, taxpayers challenging state taxes were obligated to pay the tax first and then sue for a refund. *See* S. Rep. No. 1503, 75th Cong., 1st Sess. 2 (1937). Eliminating federal court jurisdiction where state court remedies were adequate provided equal treatment for residents and nonresidents challenging state tax laws.

Lastly, Congress passed the Tax Injunction Act to establish state courts as the primary forum for challenging state taxes because most suits arose from state law, and this Court was available to review any state court decisions involving federal grounds for challenging state taxes. 2569 CONG. REC. 1417 (1937).

None of these congressional purposes justifies a state court's refusal to entertain a federal claim. Although this Court has reversed the decisions of federal courts asserting jurisdiction in § 1983 cases when the state court remedies were "plain, speedy and efficient," see *Fair Assessment in Real Estate Ass'n v. McNary*, 454 U.S. 100 (1981); *Rosewell v. LaSalle Nat'l Bank*, 450 U.S. 503 (1981), this Court has never indicated that a state court could choose not to hear those same § 1983 claims because its state law remedies were adequate. Indeed, the Court in *Fair Assessment* specifically noted that "the Missouri Supreme Court has expressly held that plaintiffs such as petitioners may assert a § 1983 claim in state court." 454 U.S. at 116. Similarly, in *Pennhurst State School and Hospital v. Halderman*, 465 U.S. 89, 122 (1984), the Court observed that, because of the limitations that the Tax Injunction Act and the Eleventh Amendment impose on federal courts in state tax matters, "[c]hallenges to the validity of state tax systems under 42 U.S.C. § 1983 . . . must be brought in state court."

More important, in this case there is no concern of federal court interference with state tax procedures involving requests for preliminary injunctions, declaratory relief or damages. Petitioners brought their action in state court, and the Oklahoma Supreme Court declared the state taxes to be in violation of the federal Constitution and ordered refunds and interest. The federal courts were not involved in this proceeding to any extent, and thus the reasons that preclude federal court consideration of a state tax claim under § 1983 are inapposite here.

The Tax Injunction Act therefore provides no reason for state courts not to entertain and provide relief under §§ 1983 and 1988. As one state court judge has explained:

These concerns of comity, however, in no way foreclose state courts from hearing § 1983 actions in conjunction with state tax appeals. Neither the letter nor the spirit of [the Tax Injunction Act] are violated by the existence of such state court jurisdiction. This jurisdiction, in fact, fully implements the policies of *both* § 1983 (*i.e.*, the vindication of civil rights) and § 1341 (*i.e.*, the noninterference of federal courts in state tax matters) in a way that federal jurisdiction does not.

Pechiney Corp. v. Crystal, 643 A.2d 319, 321 (Conn. Super. Ct. 1994). See also *Murtagh v. County of Berks*, 634 A.2d 179, 185 (Pa. 1993), in which the Pennsylvania Supreme Court squarely rejected the argument that prohibitions imposed on federal courts in the Tax Injunction Act and principles of comity against enjoining state taxes justified *state* courts in refusing to enforce federal remedies:

[T]he principle of comity that causes a federal court to refrain from exercising jurisdiction over section 1983 tax assessment cases has no relevance to a class action challenging, in state court, the constitutionality of a system of property tax assessment.

In fact, the Oklahoma Supreme Court's reliance on the Tax Injunction Act turns that Act on its head. The Tax Injunction Act is premised on the proposition that federal courts are unnecessary *because* state courts are available to enforce federal rights and remedies. The court below,

however, used the Act as an excuse for state courts to refuse to consider federal claims and remedies.

In addition, as noted earlier, the Tax Injunction Act is not a "neutral state rule of court administration," *Howlett*, 496 U.S. at 371, like *forum non conveniens*, applicable alike to federal and state claims. As applied by the Oklahoma Supreme Court, the Act would be a non-neutral rule that acts only to bar federal claims. Furthermore, the ruling below would effectively abolish the rights and remedies of taxpayers under §§ 1983 and 1988 in states like Oklahoma, because taxpayers could not bring suits under those sections challenging state taxes in federal or state court. There is no indication in the language or legislative history of the Tax Injunction Act, either expressed or implied, that Congress intended to repeal any existing federal rights and remedies in directing tax plaintiffs to state courts.

Moreover, the desire of the court below for "uniformity" in result between federal and state courts in § 1983 state tax claims provides no justification for its result. A desire for "uniformity" is not the kind of "neutral" rule that would provide a valid excuse under *Howlett* to deny hearing a federal claim in state court. The Tax Injunction Act itself, upon which the court below relies, prevents uniformity of result between federal and state courts.¹³

¹³ Taken to its logical extreme, the desire for uniformity of result between federal and state courts would have precluded the Oklahoma courts from hearing the petitioners' Commerce Clause claims for refunds as well, because those claims could not have been brought in federal court under the Eleventh Amendment. *Edelman v. Jordan*, 415 U.S. 651 (1974). Surely those

In addition, there are many other instances where federal courts lack jurisdiction to enforce federal rights which are enforceable in state courts, and where there is therefore no "uniformity" between remedies obtainable in state and federal courts. As Judge Blue pointed out in *Pechiney Corp.*, 643 A.2d at 321, "it is not at all anomalous for state courts to have jurisdiction over matters that federal courts cannot lawfully adjudicate." For example, until the Judiciary Act of 1875, Congress refrained from providing the lower federal courts with general federal-question jurisdiction. Until then, the state courts provided the only forum for vindicating many important federal claims. See *Palmore v. United States*, 411 U.S. 389, 401-02 (1973); see generally Jack H. Friedenthal, Mary Kay Kane & Arthur R. Miller, *Civil Procedure*, § 2.3 (2d ed. 1993). Even following the creation of general federal question jurisdiction in 1875, codified at 28 U.S.C. § 1331, until 1980 that statute contained an amount in controversy provision, so that federal causes of action involving lesser amounts in controversy could be heard only in state courts.

federal constitutional claims are no less a burden on the state "remedial scheme" than the statutory claims. Yet the Oklahoma courts willingly heard those Commerce Clause claims and ultimately granted declaratory and injunctive relief and refunds of taxes paid, as they were required to do. *McKesson Corp. v. Division of Alcoholic Beverages & Tobacco*, 496 U.S. 18 (1990); *General Oil Co. v. Crain*, 209 U.S. 211, 228 (1908). This points out that the principles of "comity" and "federalism" espoused by the court below are merely a pretext for not providing the federally required remedy of attorney's fees. A state court may not refuse to entertain a federal claim because the state disagrees with the federal policy, however. *Howlett*, 496 U.S. at 371; *Testa*, 330 U.S. at 392; *Mondou*, 223 U.S. at 57.

Congress continues to limit the jurisdictional power of federal courts. For example in addition to the Tax Injunction Act, the Johnson Act, 28 U.S.C. § 1342, prohibits federal courts from issuing injunctions regarding state public utility rate orders where certain requirements are met.¹⁴ This jurisdictional limitation, of course, does not mean that Johnson Act plaintiffs have no federal rights in state courts.

Under Article III, § 1, Congress may grant, or withdraw, jurisdiction from the federal courts as it sees fit. *Finley v. United States*, 490 U.S. 545, 548 (1989); *Glidden Co. v. Zdanok*, 370 U.S. 548, 551 (1962). Accordingly, some lack of uniformity is inherent in our federal system and in the fact that federal courts are courts of limited jurisdiction and state courts are normally courts of general jurisdiction. *Pechiney Corp. v. Crystal*, 643 A.2d at 321, (citing *Aldinger v. Howard*, 427 U.S. 1 (1976)). The court below, however, seems to believe that state courts should be clones of federal courts. That result is neither possible nor desirable in our federal system.

Moreover, the statement of the court below that providing state court jurisdiction over § 1983 state tax claims would encourage "forum shopping" by taxpayers (Pet. App. 8a) is patently absurd. Forum shopping is only possible when there is a choice of potential forums. The

¹⁴ The requirements precluding federal court jurisdiction under the Johnson Act are jurisdiction based on diversity or a federal constitutional claim, noninterference with interstate commerce, reasonable notice and hearing by the utility, and a plain, speedy and efficient remedy in state court. 28 U.S.C. § 1342.

Tax Injunction Act eliminates the possibility of a federal forum, leaving the state court of general jurisdiction as the only alternative for a state tax claim under 42 U.S.C. § 1983. There can be no forum shopping when there is only one possible forum.

In contrast, adopting the reasoning of the court below will necessarily lead to a nonuniform result among state courts. Allowing state courts to decline jurisdiction over § 1983 claims will result in state court jurisdiction over federal rights being available only in those states that accept jurisdiction over such claims.¹⁵ There is nothing in the language or history of 42 U.S.C. § 1983 indicating that Congress intended its provisions to apply to state tax cases in some states but not in others. "Federal legislation applies in all States, and in cases of conflict between federal law and the policies purportedly underlying some state regulatory schemes, the scope of federal law is not curtailed." *Adams Fruit Co. v. Barrett*, 494 U.S. 638, 648 (1990).¹⁶

¹⁵ See n. 12, *supra*.

¹⁶ This Court has also rejected attempts by state courts to avoid federal remedies in other circumstances. In *Adams Fruit Co. v. Barrett*, the Court unanimously rejected the defendant's "reverse" pre-emption argument that would authorize states to withdraw federal remedies by establishing state remedies as exclusive. There the defendants argued that Florida courts could not hear federal claims under the Agricultural Workers Protection Act, 29 U.S.C. § 1801 *et seq.* because state worker's compensation laws were the exclusive remedy. This Court ruled that "[s]uch provisions cannot be viewed as permissible interstitial regulation in the service of, or at least neutral with respect to, the purposes of the federal scheme." *Id.* The Court added, "That Congressional authorization of a federal remedy may

Finally, contrary to the opinion of the court below, the obligation of state courts to entertain § 1983 claims in state tax cases and to provide attorneys' fees to prevailing plaintiffs under § 1988 was implicit in this Court's opinion in *Dennis v. Higgins*, 498 U.S. 439 (1991). The *Dennis* case involved facts and a procedural history identical to this case. In both cases, a group of motor carrier plaintiffs challenged a state retaliatory truck tax under the Commerce Clause and under 42 U.S.C. §§ 1983 and 1988. Both cases were brought in state court, and the state courts each granted relief on the constitutional claim but not on the federal statutory claim.

This Court reversed the denial of the federal statutory claim, and stated that "the Supreme Court of Nebraska erred in holding that petitioner's claim could not be brought under 42 U.S.C. § 1983." 498 U.S. at 451. That holding certainly would seem to require state courts to entertain such claims. If they could refuse to do so, little would be left of the Court's holding that persons could bring such claims in state court.

Furthermore, the Court in *Dennis* was clearly aware that the Tax Injunction Act prevented bringing the suit in federal court.¹⁷ Although the Court in *Dennis* did not

affect the balance struck in state remedial schemes does not suggest that Congress intended its provisions to be effective only in certain States." *Id.* See also *Hilton v. South Carolina Pub. Ry. Comm'n*, 502 U.S. 197 (1991) (state courts are required to entertain FELA cases against the state where similar suits are barred in federal court by the Eleventh Amendment).

¹⁷ The respondent's brief in *Dennis* argued that if this Court found that the Commerce Clause did support a claim under

address the effect of the Tax Injunction Act or principles of comity on state court jurisdiction, it was certainly aware of those arguments and correctly chose to ignore them.¹⁸ There is nothing in the *Dennis* opinion suggesting that state courts could refuse to hear § 1983 claims in state tax cases.

III. THE REASONS RELIED ON BY THE COURT BELOW ARE ALSO NOT A "VALID EXCUSE" BECAUSE THEY ARE INCONSISTENT WITH THE CIVIL RIGHTS ATTORNEY'S FEES ACT, 42 U.S.C. § 1988 AND WOULD NEGATE THE BASIC PURPOSE OF THAT ACT.

The "principles of comity and federalism" relied on by the court below are not a "valid excuse" for the

§ 1983 that the Court should remand the case to the Nebraska Supreme Court to determine whether a state court must hear a § 1983 claim in a state tax case. Resp. Br. at 45-49. Respondent argued that the policy of federal court noninterference in 28 U.S.C. § 1341 and the principle of comity, as explained in *Fair Assessment in Real Estate Ass'n, Inc. v. McNary*, 454 U.S. 100 (1981), had led a number of state courts to decline jurisdiction over § 1983 claims in state tax suits. *Id.* The Court, however, did not accept this suggestion. Instead, it held unequivocally that "the Supreme Court of Nebraska erred in holding that petitioner's Commerce Clause claim could not be brought under 42 U.S.C. § 1983," and it remanded the case "for further proceedings not inconsistent with this opinion." After that remand, the Nebraska Court awarded attorney's fees and costs to Mr. Dennis and his attorneys.

¹⁸ Justice Kennedy's dissent recognized that the majority's holding creating a right cognizable under the Commerce Clause in § 1983 state tax actions would necessarily require a grant of attorney's fees to the successful plaintiffs. 498 U.S. at 463-65.

further reason that they are inconsistent with federal law. As the Court held in *Howlett v. Rose*, 496 U.S. at 371, any excuse that is "inconsistent with or violates federal law is not a valid excuse." Specifically, the reasons given by the court below are inconsistent with the requirements of the Civil Rights Attorney's Fees Award Act of 1976, now codified at 42 U.S.C. § 1988, and with Congress' basic purpose in enacting that statute.

The basic Congressional purpose in enacting § 1988 was to ensure that all persons who are required to resort to legal action to vindicate their federal rights, when those rights are infringed by persons acting under color of state law, can recover the costs of those actions, including reasonable attorneys' fees. As one commentator has noted: "The adoption of a fee-shifting statute for § 1983 and other civil rights actions is part of a trend moving away from the 'American Rule' under which parties are responsible for their own fees." 2 Steven H. Steinglass, *Section 1983 Litigation in State Courts* § 22.4 (1994).

In *Maine v. Thiboutot*, 448 U.S. 1, 11 (1980), this Court held that "Congress viewed the fees authorized by § 1988 as 'an integral part of the remedies necessary to obtain' compliance with § 1983. S. Rep. No. 94-1011, p. 5 (1976)." Congress enacted § 1988 in recognition of the fact that parties who bring suit under § 1983 and prevail are typically seeking to redress not only their own injuries but also to vindicate important civil and constitutional rights of many other people and the public at large. See *City of Riverside v. Rivera*, 477 U.S. 561, 574 (1986). As the House Report accompanying § 1988 noted, a person who obtains injunctive relief under § 1983 "'does so not for himself alone but also as a 'private attorney general,'

vindicating a policy that Congress considered of the highest importance." H.R. Rep. No. 1558, 94th Cong., 2d Sess. 2 (1976) (quoting *Newman v. Piggie Park Enterprises, Inc.*, 390 U.S. 400, 402 (1968)).

Section 1988 thus reflects Congress' awareness that the monetary damages resulting from state deprivations of federal rights will often not be large enough to make it feasible for persons, or even groups of persons, to bear the expense of litigation to vindicate those rights unless they and their attorneys can recover those expenses if they prevail. Accordingly, the ability of plaintiffs and their attorneys to recover litigation costs and attorneys' fees is often essential to the effective protection of their federal rights.

These facts are no less true in the case of state tax exactions that contravene federal rights. Because the monetary damage resulting from unconstitutional taxation is often relatively small on an individual basis, compared to the costs of litigation, the availability of attorneys' fees can make the difference between protecting the federal rights of taxpayers and allowing violations to go unredressed. See William L. Taylor, *Section 1983 in State Court: A Remedy for Unconstitutional State Taxation*, 95 Yale L.J. 414, 417 (1985).

In this case, for example, it is most unlikely that petitioner National Private Truck Council, Inc. or any of its individual member companies would have been willing to undertake the costs, including attorney's fees, of over ten years of litigation to secure the tax refunds that

ultimately will be returned in this case.¹⁹ Petitioners were able to retain counsel on a contingent fee basis because there was a reasonable prospect of recovering attorney's fees in the event of success. If the decision below is sustained, it is unlikely that attorneys would be willing to undertake cases like this one, even with very good prospects of success, on a contingent fee basis.²⁰

From the perspective of state officials, including state legislators, the knowledge that the expense of litigation is likely, as a practical matter, to immunize most constitutionally questionable taxes and tax enforcement practices from court challenge can only encourage overreaching.

In *Maine v. Thiboutot*, the Court not only observed that the fees authorized by § 1988 were an "integral part of the remedies necessary to obtain compliance with

¹⁹ For example, the two taxpayer petitioners in this case paid nominal amounts in retaliatory taxes to the Oklahoma Tax Commission. In 1984, petitioner Westinghouse Electric Corporation paid \$1,080.00 in challenged taxes. Petitioner Roy W. Griffis paid only \$185.00 in taxes in 1984. Pet. App. 25a.

²⁰ In this regard, it is also noteworthy that the court below held that petitioners and their attorneys were not able to recover fees under the equitable common fund doctrine from the tax refunds that will be paid to the plaintiff class, even though that doctrine had appeared to be as well established in Oklahoma as it is elsewhere. *State ex rel. Burk v. Oklahoma City*, 522 P.2d 612 (Okla. 1973). See also, e.g., *Boeing Co. v. Van Gemert*, 444 U.S. 472 (1980). The result of the decision below on future cases of this kind in Oklahoma, therefore, will be to require the named litigants to bear the entire cost of litigation themselves, even if they are successful. As a practical matter, this will preclude persons from access to the courts to vindicate their federal rights in all cases except those involving very large monetary injuries.

§ 1983," but it also held that attorneys "fees are available in *any* § 1983 action," not just those involving traditional "civil rights" type cases. 448 U.S. at 9 (emphasis in original). Specifically, the Court held that § 1988 applied to the § 1983 action in that case, which was a case seeking redress for deprivations of federal *statutory* rights under the Social Security Act.

Certainly there is nothing in the language or legislative history of § 1988 to indicate that it was not intended to apply to one, relatively narrow, category of actions to protect federal rights – namely, those challenging state taxes that infringe federal rights. If Congress wishes to create such an exception to the scope of § 1988, it is free to do so, but there is no warrant for this Court to engraft such an exception onto the statute.

Finally, the Court in *Maine v. Thiboutot* squarely held that § 1988 applied to § 1983 actions brought in state courts. The Court stated:

Several States, participating as *amici curiae*, argue that even if § 1988 applies to § 1983 claims alleging deprivations of statutory rights, it does not apply in state courts. There is no merit to this argument. . . . It follows from this history and from the Supremacy Clause that the fee provision is part of the § 1983 remedy whether the action is brought in federal or state court.

448 U.S. at 10-11. Significantly, the Court also pointed out that if fees under § 1988 were not available in state court actions, then in those cases where federal courts lack jurisdiction to hear the § 1983 claims (*e.g.*, because of insufficient jurisdictional amounts), "some plaintiffs would be forced to go to state courts, but, contrary to

congressional intent, would still face financial disincentives to asserting their claimed deprivation of federal rights." *Id.* at 11 n.12.

In sum, the reasons offered by the court below for declining to entertain petitioners' claims under § 1983 and their claim for attorney's fees under § 1988 are clearly inconsistent with a provision that is an integral part of the federal remedies under § 1983.

◆

CONCLUSION

The decision of the Oklahoma Supreme Court should be reversed and the case remanded so that the District Court of Oklahoma County may entertain petitioners' application for attorney's fees and costs under 42 U.S.C. § 1988.

Respectfully submitted,

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